

how much cash goes in and out.

3. Chapter 20—**Margin of Safety**. Make sure that you are buying a business for way less than you think it is conservatively worth.²

—Warren Buffett

Graham's perspective on the importance of margin of safety seems pretty straightforward and simple. Recall that Einstein's five ascending levels of intellect were "Smart, Intelligent, Brilliant, Genius, Simple." When we buy an asset for substantially less than what it's worth, we reduce downside risk. Graham's genius was that he fixated on these two joint realities:

1. The bigger the discount to intrinsic value, the lower the risk.
2. The bigger the discount to intrinsic value, the higher the return.

Papa Patel and Manilal have likely never heard of Benjamin Graham. Branson, too, has likely never read any of Graham's books. Their Dhandho journeys have always been all about the minimization of risk. They've always fixated on the seemingly bizarre notion of "the lower the risk, the higher the rewards."

Most of the top-ranked business schools around the world do not understand the fundamentals of margin of safety or Dhandho. For them, low risk and low returns go together as do high risk and high returns. Over a lifetime, we all encounter scores of low-risk, high-return bets. They exist in all facets of life. Business schools should be educating their students on how to seek out and exploit these opportunities.

One of the most vivid examples of margin of safety at work in the equity markets is Warren Buffett's observations about his purchase of *Washington Post* stock in 1973:

We bought all of our [Washington Post (WPC)] holdings in mid-1973 at a price of not more than one-fourth of the then per-share business value of the enterprise. Calculating the price/value ratio required no unusual insights. Most security analysts, media brokers, and media executives would have estimated WPC's intrinsic business value at \$400 to \$500 million just as we did. And its \$100 million stock market valuation was published daily for all to see.